Southerly Economics

Independent research

Residential Aged Care Sector Update

August 2026: new Aged Care Act, funding, occupancy, margins, bed licences and RAD liquidity

Prepared for Quillwood Credit Partners

Prepared by Southerly Economics

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Synthetic - for demonstration. All names, entities and figures are fictional.

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Report	Residential aged care sector update
Prepared by	Southerly Economics
Prepared for	Quillwood Credit Partners, credit and investment teams
Date	1 August 2026
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Coverage	Australian residential aged care, all provider types
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Document details

1. Key points

- The Aged Care Act 2024 commenced on 1 November 2025. Nine months in, the main operating effect has been a shift in how places, resident contributions and provider obligations are defined, not a disruption to day to day funding.
- Sector occupancy reached 92.1% in the March 2026 quarter, up from about 89.0% two years earlier. Occupancy is now the strongest single support for sector earnings.
- We estimate the sector operating result before depreciation, interest and rent (EBITDA) at A$14 per occupied bed day for FY2026, a margin of about 4.2%. That is an improvement on FY2024, but the margin is thin and dispersion between providers is wide.
- Bed licences no longer operate as a tradable, provider held asset in the way many earlier valuations assumed. Lenders should place little or no value on licences and should test security on land, buildings and earnings.
- Refundable accommodation deposit (RAD) balances held by providers are about A$41 billion. Refunds are a large and predictable annual outflow, so liquidity management is now the central credit question for leveraged operators.
- For a typical metropolitan operator, we estimate operating break-even occupancy at about 82%. Each one percentage point of occupancy moves sector EBITDA by roughly 10%.

2. Scope, sources and limitations

This update draws on published departmental and Aged Care Quality and Safety Commission material, public provider disclosures, and Southerly Economics modelling. Where we show a figure for FY2026 or later it is an estimate or forecast and is labelled as such. Historical series are rounded and may differ from later departmental revisions. Statements on the new legislative framework reflect our reading of the Act and associated rules, and are not legal advice. Readers should confirm specific obligations of any borrower with their legal advisers.

3. The new Aged Care Act

3.1 What changed on 1 November 2025

The Aged Care Act 2024 replaced the Aged Care Act 1997 and the supporting principles. Its stated aim is a rights based system that places the older person, rather than the provider, at the centre of entitlement and funding. For residential providers four changes matter most for credit analysis.

- Registration and conduct. Providers register in categories according to the services they deliver. Residential care homes sit in a defined category with a statutory duty of care, a strengthened code of conduct and civil penalty exposure for senior individuals.
- Entitlement and places. Access follows an assessed entitlement held by the individual. The previous model of allocating places to providers through competitive rounds has ended.
- Resident contributions. A revised means tested framework applies to new entrants, covering accommodation, hotelling and non-clinical care. Residents who entered before the commencement date are largely grandfathered.

- Accommodation payments. RADs and daily accommodation payments continue, with a new retention arrangement that allows a provider to deduct an amount from a RAD over a limited period for new residents.

3.2 Transition status

The transition has been orderly so far. Providers have updated contracts, systems and governance, and funding has continued to flow under AN-ACC. The main uncertainty is operational: the Commission is applying the new standards, and the volume of reportable incidents and compliance notices will take several quarters to understand. We would expect regulators to be most active against providers with low star ratings and repeated findings.

Policy change	Effective	Credit relevance
New Aged Care Act	1 Nov 2025	Duty of care, penalty exposure, governance cost
Places follow the person	1 Nov 2025	Licence value falls, supply less constrained
Revised resident contributions	1 Nov 2025	Revenue mix shifts for new entrants
RAD retention for new residents	1 Nov 2025	Small revenue support, liquidity unchanged
Care minutes and 24/7 nurse	In force	Fixed labour cost, staffing risk
Annual AN-ACC price reset	1 Oct each year	Main driver of revenue growth

Table 1: Policy changes relevant to residential lenders

4. AN-ACC funding

The Australian National Aged Care Classification (AN-ACC) remains the basis of government care funding. Each resident is assessed into a class, and the provider receives a daily care payment that reflects the class weighting, plus a fixed base care tariff for each service. The price per weighted unit is reset each 1 October, normally incorporating indexation and the pass-through of wage determinations by the Fair Work Commission.

We estimate that average government care funding per occupied bed day was about A$283 in FY2026, compared with A$262 in FY2025. The step up in FY2026 reflects the October 2025 price reset, the effect of award wage increases and a modest rise in average resident acuity. For FY2027 we forecast about A$297, subject to the October 2026 price decision.

The key risk is timing, not level. Wage determinations take effect on fixed dates, while the funding reset follows with a lag. Where a wage increase starts before the matching price increase, providers carry the gap. We treat that lag as a recurring working capital cost of about one quarter of the annual increase.

Care minute requirements remain a floor on labour cost. The mandated average of 215 care minutes per resident per day, including a registered nurse component, and the 24/7 registered nurse requirement apply regardless of occupancy. This is the main reason that operating leverage to occupancy is so high.

5. Occupancy

Sector occupancy was 92.1% in the March 2026 quarter. It has risen in each of the last eight quarters. Three drivers stand out: demand from an ageing population, a flat to slightly lower supply of beds after closures of small and older homes, and shorter waits for assessment under the new framework.

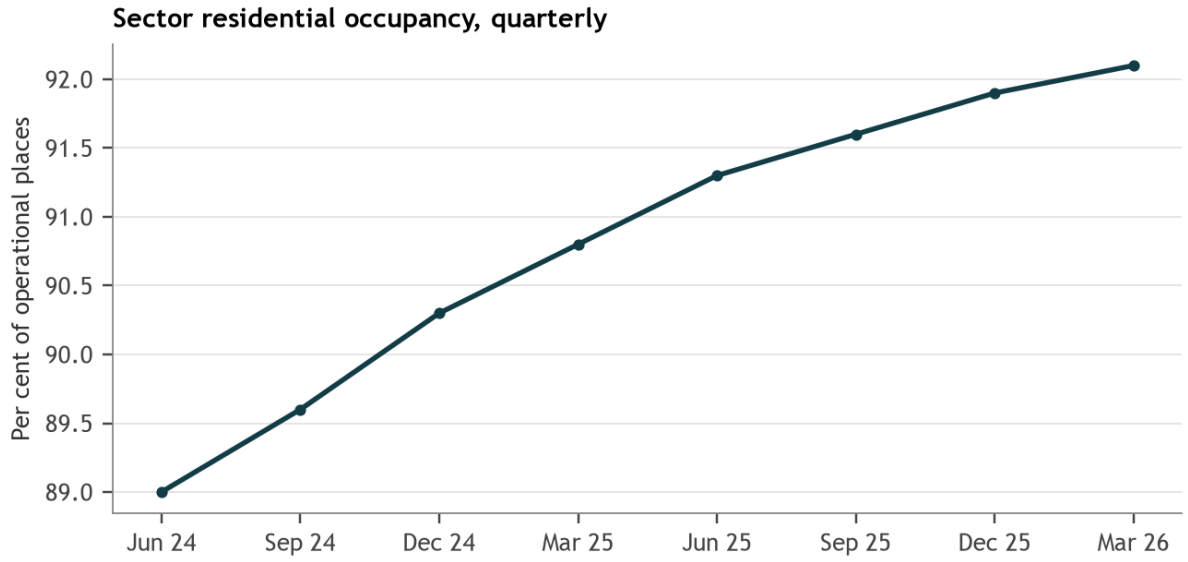


Figure 1: Sector occupancy, June 2024 to March 2026. Source: departmental data, Southerly Economics rounding.

The aggregate hides a clear split. Metropolitan homes are close to full, while rural and remote homes are materially lower and often unprofitable. We analyse the three cohorts in Section 6.

5.1 Occupancy sensitivity

On our modelling, about 35% of operating costs at a typical home are fixed in the short term, mainly management, minimum staffing, utilities and maintenance. On that basis, sector break-even occupancy is about 82% at FY2026 revenue and cost levels, leaving about 10 percentage points of headroom against the 92.1% reading. Each one percentage point of occupancy is worth about A$1.26 per available bed day, or roughly 10% of sector EBITDA. A fall of five points would remove about half of sector earnings.

6. Operating margins

Margins have recovered from the lows of FY2023 and FY2024, helped by higher occupancy, the AN-ACC price steps and growing resident contributions. They remain low compared with the level needed to fund capital renewal without RAD inflows.

Per occupied bed day (A$)	FY2024	FY2025	FY2026e	FY2027f
Revenue	290	311	335	352
Operating cost	285	299	321	336
EBITDA	5	12	14	16
EBITDA margin (%)	1.7	3.9	4.2	4.5

Table 2: Sector operating economics per occupied bed day. FY2026 is an estimate and FY2027 a forecast.

Labour is about 75% to 80% of operating cost. Our FY2027 forecast assumes that award increases are broadly funded through the October 2026 price reset, that occupancy rises by a further 0.5 to 1.0 points, and that agency use continues to fall. If funding lags wages by more than one quarter, the FY2027 margin falls to about 4.0%.

6.1 Dispersion by location

Cohort	Share of beds (%)	Occupancy (%)	EBITDA margin (%)
Metropolitan	65	93.2	5.3
Regional	30	90.8	2.9
Rural and remote	5	86.5	-2.4
Sector	**100**	**92.1**	**4.2**

Table 3: Occupancy and FY2026e margin by location. Bed shares are approximate.

The rural and remote cohort is operating below break-even and depends on supplements, block funding and, in many cases, cross-subsidy from a parent organisation. Lenders should treat these assets as policy dependent. Regional homes are profitable on average but have limited headroom, with occupancy about nine points above break-even in the best case and much less for smaller sites.

7. Bed licences

Under the previous framework a provider held an approved number of places, awarded through the Aged Care Approvals Round or acquired with a going concern. Licences were tradable in practice, sold with the home, and often carried a stated value in acquisition models and valuations. Our reading is that the new Act ends the allocation of places to providers. Entitlement attaches to the older person, and the provider's right to operate rests on registration and compliance.

There are three consequences for lenders.

- Valuation. A licence should not be assumed to carry separate transferable value. Value rests on land, buildings, fit for purpose design, the cash flows of the going concern and the provider's compliance record.
- Supply. The constraint that limited new beds has weakened. New supply must still meet planning, registration and workforce tests, but over time competition from new builds is a risk to older, smaller and multi-bed room stock.
- Transactions. Acquirers will price on earnings and replacement cost. Sellers of ageing stock may not achieve past licence premia, and this will test loan to value ratios set under earlier valuations.

We recommend that credit papers for existing facilities reduce any licence component to nil in the base case and run a sensitivity that revalues the property on an earnings basis with a higher capitalisation rate for homes older than 20 years.

8. RAD balances and liquidity

8.1 Balances and flows

Providers held about A$41 billion of RADs and similar accommodation bonds at March 2026, up from A$36.8 billion at June 2024. During FY2025 we estimate new RAD receipts of about A$11.4 billion against refunds of about A$8.6 billion, a net inflow of about A$2.8 billion. Annual refunds therefore equal about 23% of the opening stock, which is consistent with average resident stays of a little over four years.

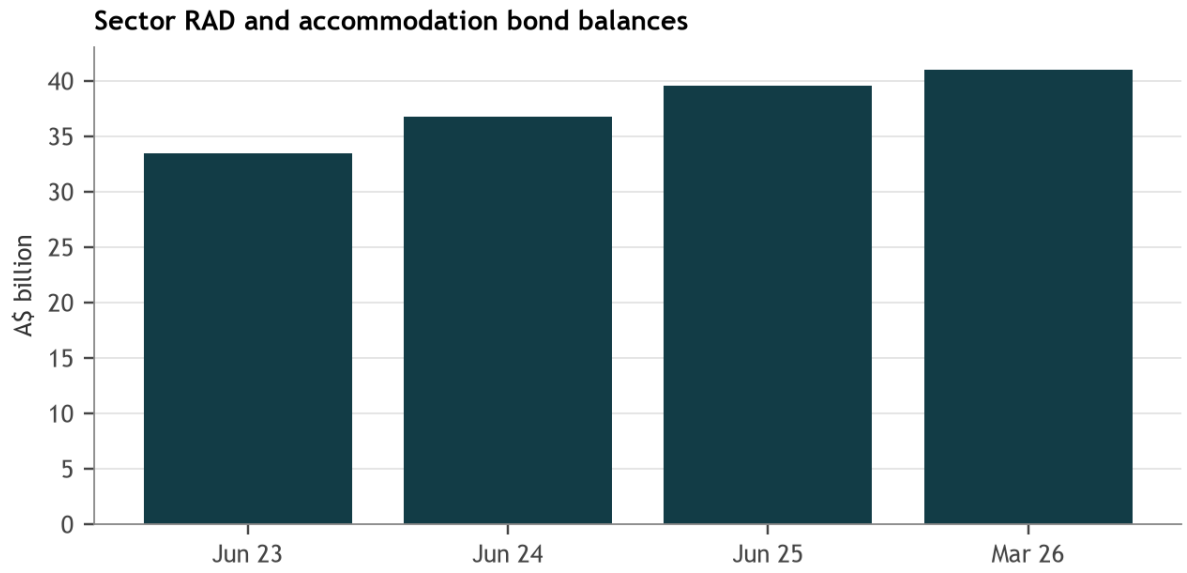


Figure 2: Sector RAD balances. Source: departmental financial reporting, Southerly Economics rounding.

8.2 Liquidity rules

A provider must be able to refund a RAD when it falls due. In general, a refund is payable within a short statutory period after a resident leaves, or after the relevant probate or administration evidence is provided following a death. Providers must maintain a liquidity management strategy, report quarterly to the regulator and maintain governance over the use of RAD funds. The Government's accommodation bond guarantee scheme protects residents if a provider fails, but the scheme is recovered through levies on the sector and does not protect lenders.

The new Act retains the existing permitted uses of RADs, which are broadly capital works, refunds and investment in aged care, and adds a provider retention amount for new residents of up to 2% a year for a maximum of five years. This retention supports revenue modestly but does not change the refund obligation. We would not count retained amounts as available liquidity because they are earned only as the resident stays.

8.3 What this means in practice

A home with A$40 million of RADs should expect to refund about A$9.2 million in a year, or about A$0.77 million each month on average, with significant month to month volatility. Those refunds are normally met by new RADs from incoming residents. The risk arises when occupancy falls, when the mix of incoming residents shifts to daily payments rather than lump sums, or when the provider has used RADs to fund development that has not yet generated new receipts.

Refinancing risk and RAD risk interact. If a lender calls a facility, the provider may have to repay debt and refund RADs from the same cash flow. For this reason we recommend lenders look through to the liquidity position, not only to the covenants that sit in the facility agreement.

- Test the ratio of cash and liquid assets to expected twelve month refunds, using a stress that halves incoming RADs for six months.
- Require that undrawn committed facilities available to meet refunds are separately identified and not double counted against capital expenditure.
- Monitor the proportion of residents choosing a lump sum, a daily payment or a combination, because a shift reduces RAD inflow and increases revenue.
- Check compliance with the provider's own liquidity strategy and with its reporting to the regulator.

9. Credit implications

The sector is in a stronger operating position than at any time since FY2021, but it remains exposed to labour cost, regulatory and liquidity shocks. Our view for private credit lenders is as follows.

- Lend against earnings and bricks, not licences. Use property values on an earnings basis, stressed for age and design.
- Set leverage by cohort. Metropolitan assets with occupancy above 92% can support higher leverage than regional homes at 90%, and rural homes should be treated as subsidised.
- Underwrite to break-even plus margin. Where a facility's break-even occupancy is above 85%, the facility has limited headroom.
- Treat RAD liquidity as a primary covenant area, with monthly or quarterly reporting.
- Monitor the Commission's actions and star ratings, since sanctions can restrict admissions and quickly reduce occupancy.

10. Outlook and risks

We expect sector occupancy to rise to between 92.5% and 93.0% by mid 2027, with a flattening as capacity constraints bind in metropolitan areas. The sector margin should reach about 4.5% in FY2027 if funding resets match wages. The principal risks are as follows.

- Funding lag. A delayed or lower than expected October 2026 price reset would cut margins by up to 0.5 points.
- Workforce. Shortages of registered nurses can force agency use or caps on admissions, and may breach care minute requirements.
- Regulation. Enforcement under the new Act, including civil penalties, may raise compliance cost and cause reputational damage for weaker providers.
- New supply. Removal of the place allocation constraint may bring forward new builds in high demand areas, putting pressure on older homes.
- Interest rates and refinancing. Higher funding costs reduce interest cover for leveraged operators, and refinancing may be hard for assets with low earnings.
- Policy change. Further changes to resident contribution settings, the maximum accommodation price or RAD rules would affect cash flow and liquidity.

11. Summary of estimates

Measure	Value	Basis
Sector occupancy	92.1%	March 2026 quarter
Break-even occupancy	About 82%	35% fixed cost assumption
EBITDA per occupied bed day	A$14	FY2026 estimate
EBITDA margin	4.2%	FY2026 estimate
RAD balances	About A$41 billion	March 2026
Annual refunds to opening RADs	About 23%	FY2025 estimate

Table 4: Summary of key sector estimates

Southerly Economics will update this report after the October 2026 AN-ACC price decision and the release of the June 2026 quarter data.